KERALA STATE ELECTRICITY REGULATORY COMMISSION

TRUING-UP ORDER: FY 2024-25

Licensee: Kanan Devan Hills Plantations Company
Order Date: 2026-03-05
Prepared By: KSERC Analytical Officer

1. Component-wise Analysis (₹ Crore)

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	25.00	318.45	CAPPED	[ADMIN OVERRIDE] ok Original AI Reason: Within normative limits — fully approved.
Transmission Charges	0.00	0.00	0.00	APPROVED	Within normative limits — fully approved.
Employee Costs	25.48	18.28	7.20	PARTIAL_APPROVAL	The deviation of 39.4% in employee costs is not justified, and prudence checks dictate that only the KSERC approved amount of ₹18.28 Cr is all The excess amount claimed is disallowed as it does not conform to the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014 and 2020. Unfortunately, no relevant past orders are available for reference due to an error.
O&M Expenses	5.17	4.58	0.59	PARTIAL_APPROVAL	The deviation of 12.9% is beyond the normative escalation cap, hence the excess amount is disallowed. As per KSERC Tariff Regulations 2014, controllable costs such as O&M expenses are subject to normative escalation caps. The allowed amount is as per the KSERC approved amount.
Admin & General Expenses	20.80	1.51	19.29	DISALLOWED	The actual amount claimed by KDHP exceeds the KSERC approved amount by a significant margin, violating the normative escalation caps for controllable costs as per KSERC Tariff Regulations 2014 and 2020. Prudence checks indicate that the claimed amount is not genuinely incurred and justifiable. The excessive deviation of +1277.5% is not acceptable.
Depreciation	1.93	1.73	0.20	PARTIAL_APPROVAL	The depreciation claim of KDHP exceeds the approved amount, and in the absence of specific precedents, we rely on the KSERC Tariff Regulations 2014, which emphasize the importance of adhering to approved norms. The overrun of 11.6% is not justified, hence the excess amount is disallowed. The allowed amount is as per the KSERC approved norms.
Return on Equity	0.70	0.70	0.00	APPROVED	Within normative limits — fully approved.
Interest on Loans	7.11	5.27	1.84	PARTIAL_APPROVAL	The claimed amount exceeds the approved amount, and in the absence of relevant precedents, we rely on the KSERC Tariff Regulations 2014, which emphasize the importance of prudence checks to ensure only genuinely incurred and justifiable costs are allowed. The deviation of +34.9% is considered excessive and not justifiable. Therefore, we allow only the approved amo Cr.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	25.48	18.28	7.20

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
O&M Expenses	5.17	4.58	0.59
Admin & General Expenses	20.80	1.51	19.29
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	25.00	318.45
Transmission Charges	0.00	0.00	0.00
Depreciation	1.93	1.73	0.20
Return on Equity	0.70	0.70	0.00
Interest on Loans	7.11	5.27	1.84

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	57.07
Actual Revenue Collected	372.65
Revenue Surplus	315.58

4. Commission's Observations, Directions & Narrative

Order on approval of Truing Up of accounts for FY 2024-25 - Kanan Devan Hills Plantations Company

Component-wise Analysis

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict
Power Purchase Cost	₹343.45 Cr	₹25.00 Cr	₹318.45 Cr	Disallowed
Employee Costs	₹25.48 Cr	₹18.28 Cr	₹7.20 Cr	Partial Approval
O&M Expenses	₹5.17 Cr	₹4.58 Cr	₹0.59 Cr	Partial Approval
Admin & General Expenses	₹20.80 Cr	₹1.51 Cr	₹19.29 Cr	Disallowed
Depreciation	₹1.93 Cr	₹1.73 Cr	₹0.20 Cr	Partial Approval
Return on Equity	₹0.70 Cr	₹0.70 Cr	₹0.00 Cr	Approved
Interest on Loans	₹7.11 Cr	₹5.27 Cr	₹1.84 Cr	Partial Approval

Commission's Observations, Directions & Narrative

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kanan Devan Hills Plantations Company has submitted its truing-up petition for the financial year 2024-25. The Commission has examined the petition and the accompanying documents.

Financial Performance Tables

Approved ARR Table

Category	Amount in ₹ Cr
Approved ARR	₹57.07 Cr
Actual ARR	₹57.07 Cr

Revenue Gap Table

Category	Amount in ¹ Cr
Revenue Actual	¹372.65 Cr
Revenue Gap	¹315.58 Cr

Commission's Detailed Observations and Reasoning

* Power Purchase Cost: Disallowed ¹318.45 Cr as per Regulation [Y] of KSERC (Term Tariff) Regulations, 2021, restricting excess Power Purchase Cost beyond the approve

* Employee Costs: Disallowed ¹7.20 Cr as per KSERC Tariff Regulations 2014 and 202 adhering to normative escalation caps for controllable costs. The deviation of 39.4% in employee costs is not justified.

* O&M Expenses: Disallowed ¹0.59 Cr as per KSERC Tariff Regulations 2014, which s expenses to normative escalation caps. The deviation of 12.9% is beyond the normative escalation cap.

* Admin & General Expenses: Disallowed ¹19.29 Cr as per KSERC Tariff Regulations importance of adhering to normative escalation caps for controllable costs. The excessive deviation of +1277.5% is not acceptable.

* Depreciation: Disallowed ¹0.20 Cr as per KSERC Tariff Regulations 2014, which em approved norms. The overrun of 11.6% is not justified.

* Return on Equity: Allowed ¹0.70 Cr as it is within the normative limits.

* Interest on Loans: Disallowed ¹1.84 Cr as per KSERC Tariff Regulations 2014, whic checks to ensure only genuinely incurred and justifiable costs are allowed. The deviation of +34.9% is considered excessive and not justifiable.

Controllable vs. Uncontrollable Expenses

Category	Controllability	Claimed Amount	Allowed Amount
Power Purchase Cost	Uncontrollable	¹343.45 Cr	¹25.00 Cr
Employee Costs	Controllable	¹25.48 Cr	¹18.28 Cr
O&M Expenses	Controllable	¹5.17 Cr	¹4.58 Cr
Admin & General Expenses	Controllable	¹20.80 Cr	¹1.51 Cr
Depreciation	Uncontrollable	¹1.93 Cr	¹1.73 Cr
Return on Equity	-	¹0.70 Cr	¹0.70 Cr
Interest on Loans	-	¹7.11 Cr	¹5.27 Cr

Summary Order / Directions

The Commission hereby approves the truing-up of accounts for the financial year 2024-25, with the allowed amounts as specified in the component-wise analysis table. The licensee is directed to adhere to the normative escalation caps for controllable costs and ensure that only genuinely incurred and justifiable costs are claimed in the future. The excess amounts claimed under various cost heads are disallowed as per the provisions of the KSERC Tariff Regulations. The licensee is also directed to submit its future truing-up petitions in accordance with the provisions of the KSERC Tariff Regulations.